WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

MARTINIQUE

Americas

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Fort-de-France	Capital and seat of the Collectivité Territoriale de Martinique and the Prefecture; its cruise terminals welcomed 477,202 cruise passengers in 2025, up 20%	Public administration, business services, cruise tourism, retail
Grand Port Maritime de la Martinique (Fort-de-France bay)	Main gateway for trade, handling 3.2 million tonnes and 184,705 TEU in 2025, with new gantry cranes and €28 million of investment in 2026 under its 2025–2029 strategic plan	Port logistics, distribution, energy, regional transshipment
Le Lamentin	Principal business and commercial zone and home to Aimé Césaire airport, which handled 1.9 million passengers in 2025	Aviation, retail, logistics, light industry, refining
South coast (Les Trois-Îlets, Le Diamant, Les Anses-d'Arlet, Sainte-Anne)	Leading resort area, also covered by the Pointe Sud-Ouest geothermal exploration permit, now led by TLS Geothermics with Albioma	Tourism, hospitality, nautical leisure, geothermal energy
North Atlantic coast (Trinité / Le Galion)	Sugar and biomass-energy hub, where the Galion plant aims to raise sugar output from 262 tonnes in 2025 to at least 2,000 tonnes in 2026	Sugar cane, rum, biomass energy, agro-processing
Northern agricultural belt	Banana and agricultural heartland, where banana exports rose 3.6% in volume in 2025	Bananas, agri-food, rum, eco-tourism
Island-wide renewable-energy pipeline	A 175 MW grid-connection target was set in March 2026, alongside CTM plans for offshore wind and solar on public buildings	Solar, offshore wind, storage, grid services

INVESTOR ENTRY ROUTES

- Collectivité Territoriale de Martinique (CTM), the single authority exercising regional and departmental powers, leads economic development, business aid and the management of EU funds
- Tax-free business zones (ZFANG): a 50% profit abatement (capped at €150,000), rising to 80% (capped at €300,000) in priority sectors including tourism, renewable energy, agro-nutrition, R&D, ICT, industry and naval repair, for SMEs with fewer than 250 staff

- National overseas investment incentives, including productive-investment tax aid under article 199 undecies B of the General Tax Code and LODEOM social-charge exemptions, both maintained in the 2027 draft finance bill
- Full French and EU legal framework: the euro is the currency, IEDOM acts as the Banque de France's local arm, and there are no capital controls or repatriation restrictions
- Public co-financing from Bpifrance, Banque des Territoires, AFD and EU regional funds, which support business development and port modernisation
- Renewable-energy grid connection under a 175 MW target capacity set by the Prefect in March 2026, with geothermal exploration permits and an offshore wind consultation under way
- Public procurement in housing and infrastructure, including a €300 million recovery plan for social housing and the Grand Port's 2025–2029 strategic programme

MARKET-ENTRY OBSERVATION

Martinique offers investors a euro-denominated, French and EU jurisdiction in the Eastern Caribbean with the highest income level of the French Antilles: GDP of €11.1 billion in 2025 and GDP per capita of €31,000. Growth was flat at 0.1% in volume in 2025, but household consumption rose 1.0%, inflation was contained at 1.1% (2.0% in June 2026) and bank credit outstanding exceeded €13 billion. IEDOM's business-climate indicator averaged 102.4 in 2025, five points up on 2024, and stood near its long-term average at 99.9 in the second quarter of 2026. Tourism is a clear strength: visitor numbers passed one million in 2025, cruise passengers rose 20%, and hotel stays grew 11.7% year on year in the second quarter of 2026, with foreign guests up 31.5%. Separate FDI statistics are not published, but port modernisation, the maintenance of national overseas tax incentives and a growing renewable-energy pipeline point to continued investment opportunity.

Martinique's main structural challenge is sustaining activity while its population declines and ages: residents numbered 360,630 in 2023, falling about 0.5% a year as young people move to mainland France, and investment fell 6% in volume in 2025, with unemployment at 12.8% in mid-2026. Mitigation is under way on several fronts: a cost-of-living protocol signed in October 2024 has cut average prices by 10.5% on 54 product families, a €300 million social-housing recovery plan has been announced, housing permits rose 7.5% over the year to mid-2026, and a framework agreement signed with the State on 1 July 2026 opens the way to local normative powers and gradual fiscal autonomy within the Constitution. For investors, the opportunities lie in upscale and cruise tourism, renewable energy, housing and construction, port logistics, and health and care services for an ageing population.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Demographic decline and ageing	The population is falling by about 0.5% a year, with net departures of young people to mainland France and a natural balance close to zero	An ageing population creates growing demand in health, care, adapted housing and services; local training partnerships can secure skills
Cost of living and social climate	High prices prompted social protest in 2024, leading to a protocol signed on 16 October 2024 covering 69 product families	Prices have fallen 10.5% on average on 54 families, and food prices rose only 0.7% from October 2024 to December 2025; local production and import-substitution are encouraged
Investment and construction slowdown	Total investment fell 6% in volume in 2025, construction investment fell 8.5%, and IEDOM reports cautious investment intentions in mid-2026	Housing permits rose 7.5% and authorised commercial floorspace rose 39.8% over the year to mid-2026, and the social-housing plan supports recovery
Energy import dependence	Martinique remains highly dependent on fossil fuels, and fuel prices rose in spring 2026	The 175 MW grid-connection target, geothermal exploration, offshore wind and public-building solar open opportunities in renewables, storage and efficiency
Insularity and supply costs	Import dependence raises costs, with a trade deficit of €2.53 billion in 2025, and the EU carbon border mechanism is expected to raise cement costs by about 30%	Port modernisation and new gantry cranes improve logistics, while local agri-food processing and low-carbon materials can replace imports

Issue	Potential Impact	Possible Mitigation
Labour market	Unemployment was 12.8% in mid-2026, against 8.3% in mainland France, and private-sector employment edged down 0.7%	LODEOM social-charge exemptions and ZFANG relief lower labour and tax costs, and a sizeable workforce is available for new projects
Institutional evolution and incentive renewal	A State–CTM framework agreement of July 2026 envisages local normative powers and gradual fiscal autonomy, and EU coverage of ZFANG runs to 31 December 2026	Any change must follow the constitutional framework and preserves State sovereign powers; take local tax advice and track incentive renewal beyond 2026

INVESTOR RISK NOTE

Martinique's risk profile is that of a French and EU jurisdiction: legal, currency and transfer risks are low, contracts are enforced under French law, and the euro removes exchange-rate exposure for euro-area investors. Inflation is moderate, household consumption is holding up, business sentiment is close to its long-term average and tourism, particularly cruise and foreign visitors, is growing. The main considerations are structural: a declining and ageing population, weak investment in 2025, unemployment above the national level and continued reliance on imported energy. Cost-of-living tensions led to protests in 2024; the October 2024 protocol has since delivered measurable price reductions. The institutional-evolution process launched with the July 2026 framework agreement is a gradual political process within the French Constitution, and national overseas incentives are being maintained in the 2027 draft finance bill. Investors should take local tax advice, model incentives conservatively, and engage early with the Prefecture and the CTM, while Martinique's high incomes, EU standards and strategic Caribbean position offer a sound base for long-term investment.

MARKET ACCESS

As a French single territorial collectivity exercising the powers of an overseas department and region, Martinique is an outermost region of the European Union, fully within the EU single market and customs union and using the euro. Through France and the EU it is covered by WTO membership and EU trade agreements, including the EU–CARIFORUM Economic Partnership Agreement with its Caribbean neighbours, and it is an associate member of the Organisation of Eastern Caribbean States. Its main exports are refined petroleum products, which rose 23% in volume in 2025, bananas and rum, with trade oriented mainly towards mainland France and the neighbouring French territories. The Grand Port Maritime handled 3.2 million tonnes of cargo and 184,705 TEU in 2025, with strengthening ro-ro links to Guadeloupe, and Aimé Césaire airport, with 1.9 million passengers in 2025, connects Martinique with Europe, North America and the Caribbean.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Préfecture de la Martinique (Prefect Étienne Desplanques)	Represents the French State, overseeing state services, security, state co-financing and renewable-energy grid planning	Primary reference point for state policy, permitting and major public projects
Collectivité Territoriale de Martinique (Executive Council President Serge Letchimy)	Single local authority leading economic development, business aid, EU funds and the energy strategy, and party to the July 2026 framework agreement	Standard first point of contact for incentives and co-financing
IEDOM (Institut d'émission des départements d'outre-mer)	Acts as the Banque de France's arm in the overseas departments, monitoring credit, prices and the business climate	Authoritative source of economic and banking-sector intelligence
Grand Port Maritime de la Martinique	State port authority delivering the 2025–2029 strategic programme, including a port smart grid targeting close to 50% energy self-consumption	Counterpart for logistics, distribution and port-related investment

Actor	Why It Matters	Waverley Engagement Angle
Bpifrance, Banque des Territoires and AFD	Public financiers supporting SMEs, local infrastructure and the extension and modernisation of the Grand Port	Co-financing partners for business, energy and public-private projects
EDF Martinique (island system operator)	Manages the electricity system and grid connections under the 175 MW renewable target capacity	Key counterpart for any renewable-energy or storage project
Ministry of Overseas France (Minister Naïma Moutchou)	Leads national overseas policy and signed the July 2026 framework agreement on Martinique's institutional evolution	Relevant for national incentives and the direction of statutory reform

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Collectivité Territoriale de Martinique, working with Bpifrance and Banque des Territoires, is the main channel for business support, co-financing and EU funds, and the Chamber of Commerce and Industry of Martinique provides local business liaison. AFD and Banque des Territoires are the principal public financiers for infrastructure, energy and local-authority projects, and IEDOM and Insee publish regular, detailed economic intelligence. The Grand Port Maritime and EDF Martinique are practical sources of insight into logistics and the energy transition, while CTM consultations on offshore wind and public-building solar, and the State–CTM talks on institutional evolution, are useful forums for understanding local priorities. Operators such as Albioma are a source of practical intelligence on biomass and geothermal development.

INVESTOR PROFILE BEST SUITED

Martinique suits investors seeking a secure, euro-denominated EU base in the Caribbean with the highest incomes in the French Antilles: hotel, leisure and cruise-related businesses targeting a tourism market that passed one million visitors in 2025; renewable-energy, geothermal and storage investors supporting the shift away from imported fuel; housing and construction firms positioned for the social-housing recovery plan; logistics and distribution firms using a modernising port; and health, care and services providers serving an ageing population. Agri-food and rum producers can use enhanced 80% ZFANG relief to expand local processing and exports.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the CTM and the Prefecture
Open dialogue with the CTM's economic-development services and state services to identify priority sectors, sites, permits and co-financing.

STEP 2: Model ZFANG and overseas investment tax aid
Take local tax advice to confirm eligibility for the 50% or enhanced 80% ZFANG abatement, LODEOM exemptions and investment tax aid, and track EU state-aid renewal beyond 2026.

STEP 3: Explore energy-transition partnerships
Approach EDF Martinique, the CTM and operators on solar, storage, geothermal and offshore wind projects within the 175 MW grid-connection target.

STEP 4: Use the port and tourism pipeline as a regional platform
Leverage the Grand Port's strategic programme and the growth in cruise and foreign visitors to build Caribbean-wide logistics and hospitality operations.

STEP 5: Follow the institutional-evolution process
Monitor the implementation of the July 2026 framework agreement, which may give Martinique greater local normative and fiscal powers over time.